Factors Contributing to Increased Globalisation

Exam code: 9BS0

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Updated on 8 September 2025

Trade liberalisation

- **Globalisation** is the **economic integration of different countries** through increasing freedoms in the cross-border movement of people, goods/services, technology and finance
- There are many reasons why the speed of globalisation has increased, including increasing levels of **trade liberalisation**
- **Trade liberalisation** is the removal or reduction of barriers to trade between different countries

Evaluation of trade liberalisation

Benefits of trade liberalisation	Drawbacks of trade liberalisation
• Increased international trade allows businesses to increase their market size ○ This leads to **increased output**, so countries can benefit from **economies of scale** • Freer trade helps businesses **reduce costs, as imported raw materials and components** can be sourced more cheaply	• Domestic firms, in particular **infant industries**, may not be able to compete against international firms • Some industries may be subject to **dumping** as businesses abroad may sell excess products at unfairly low prices

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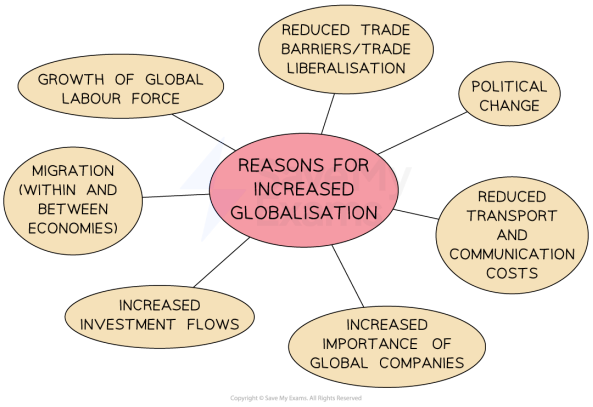
Influences on globalisation

- There are many reasons for the increasing levels of globalisation
- The **context of an individual country** determines which of these reasons has had the greatest impact on its

countries such as India and China

Reasons for increased globalisation



Reasons for increased globalisation include reduced trade barriers, reduced transport costs and migration

Factors contributing to increased globalisation

Factor	Explanation
Political change	• Changes in the **government** of a country can influence the country's attitude to trade ○ E.g. China joined the World Trade Organisation in 2001, which led to a significant increase in its exports
Reduced cost of transport and communication	• **Economies of scale** due to innovation in **containerisation** on large ships have **reduced business costs** • Technological advancements due to the internet/mobile technology have **made it easier** for buyers and sellers to connect with one another
Increased significance of global companies	• A **transnational company** is a business that operates in more than one country • These businesses will have their headquarters in one country but have branches in other countries ○ E.g. Nike has its headquarters in Oregon, United States. As of 2022, it has 1,046 retail stores throughout the world • With increasing numbers of transnational companies **operating globally**, there is

Help me understand

Increased investment flows (FDI)	• Foreign direct investment (FDI) is important for **job and wealth creation** within an economy • It allows businesses to establish themselves in countries where they may face trade barriers
Migration (within and between economies)	• **Migration** is the movement of people from one location to another • Migration has led to **increased globalisation**, as better transportation and **deregulation** have allowed workers to have more flexibility when looking for work ○ E.g. in 2022, the United Arab Emirates had the highest proportion of immigrants, at 88%

Growth of the global labour force	• The global labour force has **grown significantly**, especially due to the growth of emerging economies such as India and China
	• This has increased globalisation due to the following reasons:
	  ○ More people working means **more income** to spend on goods and services, **boosting global demand**
	  ○ An increased **supply of labour** leads to **falling wages, which is beneficial in reducing business costs**
	  ○ More people working generates increased levels of **entrepreneurship**

Trade liberalisation	• Reducing or removing trade barriers, such as **tariffs** and **quotas**, makes it easier and cheaper for businesses to export and import goods across borders, encouraging international trade • With fewer restrictions, businesses can more easily expand into new markets, leading to stronger economic links between countries and greater global interdependence

- Structural change can also occur, which is **when a country, industry or market changes which sector or industry it operates** in
  - E.g. the UK has shifted from the manufacturing sector to the tertiary sector over the last 50 years

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